DE–7100 **11**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, DECEMBER 2013.

MANAGEMENT CONCEPTS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the nature of scientific management.
2. Narrate importance of planning.
3. Enumerate the principles of delegation.
4. Explain the various external sources of recruitment.
5. Explain the functions of leadership.
6. Explain the process of control.
7. State the merits of line organization.
8. What are the essentials of sound planning?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the techniques of scientific management.
10. Explain the process of decision-making.

11. Explain in detail the functional organization structure.

12. Enumerate the various stages in selection process.

13. What do you understand by the term communication? Explain the barriers of communication.

14. Briefly explain the various control techniques.

15. Explain the various approaches to management thought.

DE–7101 **12**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, DECEMBER 2013.

FINANCIAL ACCOUNTING AND ANALYSIS

(2005 Onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What is accounting standards? What purpose does it serve?

2. Explain the concept of 'fund'.

3. What you mean by Money measurement concept and Dual aspects concept?

4. What are the limitations of historical accounting?

5. Explain the CPP model of accounting for price level changes.

6. A Book-keeper failed to balance his trail balance, the credit side exceeding the debit side by Rs. 1,750. This amount was entered in a suspense account. Later the following errors were discovered:

   (a) Goods worth Rs. 6,200 sold to Rahim were correctly entered in the sales Book, but posted to Rahim's account as Rs. 2,600.

   (b) A credit balance of Rs. 7,550 of Rent Receivable account was shown as Rs. 5,700.

(c) The total of Return outward book amounting to Rs. 2,000 was not posted to ledger.

(d) Goods worth Rs. 1,000 purchased from Prema were wrongly entered in the sales book. The account of Prema was correctly credited.

(e) The Sales book was under case by Rs. 1,000.

(f) The total of the credit side of Dravid's account was over cast by Rs. 1,000.

Give the journal entries to rectify the above errors and prepare the suspense account.

7. From the following profit and loss account you are required to compute fund from operations:

Profit and Loss Account for the year ending 31st March 2001

	Rs.		Rs.
To Salaries	25,000	By Gross Profit	5,00,000
To Rent	1,00,000	By Profit on sale of vehicle	3,000
To Provision for depreciation	50,000	By Income Tax Refund	2,000
To Commission paid	5,000	By Dividends	10,000
To Provision for taxation	1,50,000		
To Loss on sale of investment	10,000		
To Cost of issue of shares written-off	2,000		
To Provision for legal damages	5,000		
To Reserve for doubtful debts	3,000		
To Net profit	1,65,000		
	5,15,000		5,15,000

8. What are profitability ratios?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Define accounting. Explain its scope and functions.

10. What is the need for financial statement analysis? Describe the methods.

11. Explain the scope and the spread in the present days of computer applications in accounting.

12. Abdullah carries on a small business, but he does not maintain a complete set of account books. He banks all receipts and makes all payments only by means of cheques. He maintains properly a Cash Book, a Sales Ledger and a Purchase Ledger. He also makes a proper record of the assets and liabilities as at the close of every accounting year. From such records you are able to gather the following facts:

Receipts for the year ended 31st march 2009:	Rs.
From sundry debtors	1,76,250
Cash sales	41,250
Paid in by Abdullah, the proprietor	25,000
	2,42,500

Payments made in the year ended 31st March 2009:

New plant purchased	6,250
Drawings	15,000
Wages	67,250
Salaries	11,250
Interest paid	750

Telephone	1,250
Rent	12,000
Light and power	4,750
Sundry Expenses	21,250
Sundry Creditors	76,250
	2,16,000

Assets and Liabilities:	31st March 2008	31st March 2009
	Rs.	Rs.
Sundry Creditors	25,250	24,000
Sundry Debtors	37,500	61,250
Bank	6,250	–
Stock	62,500	31,250
Plant	75,000	73,150

From the above data, prepare the Profit and Loss Account for the year ended 31st March 2009 and the Balance Sheet as on that date.

13. Shelley Ltd., was incorporated with a nominal capital of Rs. 5,00,000 in equity shares of Rs. 10 each. On 31st March, 2005, 25,000 shares were fully called up. The following balances were extracted from the ledger of the company as on 31st March, 2005:

Particulars	Rs.	Particulars	Rs.
Stock	50,000	Advertisement	3,800
Sales	4,25,000	Bonus	10,500
Purchases	3,00,000	Debtors	38,700
Wages (Productive)	70,000	Creditors	35,200
Discount Allowed	4,200	Plant and Machinery	80,500
Discount Received	3,150	Furniture	17,100
Insurance upto 30.6.2005	6,720	Cash at Bank	1,34,700
Salaries	18,500	General Reserve	25,000

Particulars	Rs.	Particulars	Rs.
Rent	6,000	Loan from Managing Director	15,700
General Expenses	8,950	Bad debts	3,200
Profit and Loss Account	6,220	Calls-in-arrear	5,000
Printing and Stationary	2,400		

You are required to prepare Profit and Loss Account for the year ended 31st March, 2005 and Balance Sheet in the prescribed form as on that date. The following further information is given to you;

(a) Closing stock was Rs. 91,500.

(b) Depreciation is to be charged on plant and machinery and furniture at 15% and 10% respectively.

(c) Outstanding liabilities on 31st March, 2005 were: Wages Rs. 5,200; Salary Rs. 1,200; and Rent Rs. 600.

(d) Dividend for the year ended 31st March, 2005 @ 5% is to be provided.

(e) Make a provision for taxation @ 50%.

14. The following data represents the ratios pertaining to X. Co.Ltd. for the year ending 31st March 2009:

Annual Sales	Rs. 40,00,000
Sales to Net Worth	5 times
Current Liabilities to Net Worth	50%
Total Debts to Net worth	80%
Current Ratio	2.2
Sales to Inventory	8 times
Average Collection Period	40 days
Fixed Assets to Net Worth	70%

From the above mentioned particulars, prepare the Balance Sheet of X Co. Ltd. as on 31st March 2000. Assume that all sales are made on credit.

15. Prepare a Fund Flow Statement from the following data:

Balance Sheet as on 31st March

Liabilities	2002	2003	Assets	2002	2003
	Rs.	Rs.		Rs.	Rs.
Capital Stock	35,000	43,500	Cash	40,000	44,400
Provision for Tax	22,000	22,000	Accounts Receivable	10,000	20,700
Retained Earnings	15,000	19,500	Inventories	12,000	14,000
Current liabilities	30,000	32,000	Land and buildings	24,000	20,000
			Equipment	16,000	17,900
	1,02,000	1,17,000		1,02,000	1,17,000

Additional Information:

(a) A Building that cost Rs. 4,000 and which and a book value of Rs. 1,000 is sold for Rs. 1,400;

(b) The depreciation charge for the period was Rs. 800;

(c) Cash dividend of Rs. 2,000;

(d) Tax paid Rs. 1,000.

DE–7102 **13**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, DECEMBER 2013.

COST AND MANAGEMENT ACCOUNTING

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the objectives of costing?

2. Explain the ABC analysis of inventory control.

3. How is job costing different from process costing?

4. State the accounting treatment of under or over absorbed overheads.

5. What are the differences between management accounting and financial accounting?

6. What are the pre requisites for a successful budgetary control system?

7. What is break-even analysis? State its uses in decision-making.

8. Explain the cost reduction techniques.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Shriram Enterprises manufactures a special product "ZED". The following particulars were collected for the year 2002 :

   (a) Monthly demand of ZED 1,000 units.

   (b) Cost of placing an order Rs. 100.

   (c) Annual carrying cost per unit Rs. 15.

   (d) Normal usage 50 units per week.

   (e) Minimum usage 25 units per week.

   (f) Maximum usage 75 units per week.

   (g) Re-order period 4 to 6 weeks. Compute from the above :

      (i) Re-order quantity

      (ii) Re-order level

      (iii) Minimum level

      (iv) Maximum level

      (v) Average stock level.

10. From the following particulars, you are required to work out the earnings of a worker for a week under :

   (a) straight piece rate

   (b) differential piece rate

(c) Halsey premium scheme (50% sharing), and

(d) Rowan premium scheme.

Weekly working hours	48
Hourly wage rate (Rs.)	7.50
Piece rate per unit (Rs.)	3.00
Normal time taken per piece	24 minutes
Normal output per week	120 pieces
Actual output for the week	150 pieces

Differential piece rate - 80% of piece rate, when output is below normal and 120% of piece rate, when output above normal.

11. A company has three production departments and two service departments. The following figures are extracted from the books of the company :

	Rs.
Rent	20,000
Depreciation	40,000
Power	6,000
Indirect wages	6,000
Lighting	2,400
Others	6,000

Other particulars :

	A	*B*	*C*	*D*	*E*
Floor space (sq.ft.)	4,000	5,000	6,000	4,000	1,000
Light points	20	30	40	20	10
Direct wages (Rs.)	9,000	6,000	9,000	9,000	7,000
H.P. of machines	75	30	35	10	–
Value of machinery (Rs. in lakhs)	1.20	1.60	2.00	0.10	0.10
Working hours	3,113	2,014	2,033	–	–

The expenses of service departments *D* and *E* are to be allocated as follows :

	A	*B*	*C*	*D*	*E*
D	20%	30%	40%	–	10%
E	40%	20%	20%	20%	–

You are required to distribute the service department expenses to the production departments (*A, B* and *C*) under simultaneous equation methods and calculate hourly rate of each production.

12. A product passes through two distinct processes *A* and *B* and thereafter, it is transferred to finished stock. The output of *A* passes to *B* and that of *B* to finished product. From the following information you are required to prepare process accounts.

	Process *A*	Process *B*
	Rs.	Rs.
Material consumed	12,000	6,000
Direct labour	14,000	8,000
Manufacturing expenses	4,000	4,000
Input in process *A* (units)	10,000	
Input in process *A* (value)	10,000	
Output (units)	9,400	8,300
Normal wastage percentage of input	5%	10%
Value of normal wastage (per 100 units)	8	10

13. Explain the functions of a management accountant.

14. The expenses budgeted for production of 10,000 units in a factory are given below :

	Rs. Per unit
Material	70
Labour	25
Variable overheads	20
Fixed overheads (Rs. 1,00,000)	10
Variable overheads (Direct)	5
Adm. overheads (Rs. 50,000)	5
Selling overheads (10% fixed)	13
Distribution exp. (10% fixed)	7
	155

Prepare a budget of the production (a) 8,000 units (b) 6,000 units. Assume that the administration expenses are rigid for all levels of production.

15. A ball pen manufacturer has developed a new ball pen with unique features. His design development executive has suggested three possible retail prices viz. Rs.15 for Super Star, Rs. 10 for Deluxe and Rs. 7.50 for Economy model. His marketing manager opinion that the wholesalers and retailers have to be given at least 30% discount in total.

The estimated fixed cost would be around Rs. 70,000 and variable cost per unit would be Rs. 3.50.

(a) Calculate break-even point for each model of ball pen.

(b) How many units should the manufacturer sell in order to make a profit of Rs. 21,000 for each model of ball pen?

DE–7103 **14**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION,
DECEMBER 2013.

QUANTITATIVE TECHNIQUES

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What are the scope and limitations of statistics?

2. What is meant by weighted average and state the effect of weighting?

3. Calculate median and Arithmetic mean from the following series:

   05 men get less than Rs.5

   12 men get less than Rs.10

   22 men get less than Rs.l5

   30 men get less than Rs.20

   36 men get less than Rs.25

   40 men get less than Rs.30

4. What are the methods of finding skewness?

5. It is assumed that 40 per cent students of a class may get first class in the forthcoming university examination. Then, what is the probability that 5 out of 10 students will get the first class?

6. Before an increase in excise duty on tea, 400 out of a sample of 500 persons were found to be tea-drinkers. After an increase in duty, 400 persons were known to be tea-drinkers in a sample of 600 people. Do you think that there has been a significant decrease in the consumption of tea after the increase in the excise duty?

7. Ten students got the following percentage of marks in Economics and Statistics:

Student	1	2	3	4	5	6	7	8	9	10
Percentage of Marks in Statistics	78	36	98	25	75	82	90	62	65	39
Percentage of Marks in Economics	84	51	91	60	68	62	86	58	53	47

Calculate the rank correlation coefficient.

8. What are the assumptions in formulating linear programming problem?

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the various sources of secondary data and state the dangers involved in their use. What are the precautions necessary before using them?

10. Calculate quartiles, median and quartile deviation.

Daily wages Rs.	No. of workers	Daily wage Rs.	No. of workers
Less than 10	12	40 - 50	18
10 - 20	28	50 - 60	16
20 - 30	50	more than 60	10

11. Explain the properties of Poisson distribution.

12. The customer accounts at a certain departmental store have an average balance of Rs. 120 and a standard deviation of Rs. 40. Assuming that the account balances are normally distributed:

    (a) What proportion of the accounts is over Rs. 150?

    (b) What proportion of the accounts is between Rs. 100 and Rs. 150?

    (c) What proportion of the accounts is between Rs. 60 and Rs. 90?

13. Before an increase in excise duty on tea, 400 out of a sample of 500 persons were found to be tea-drinkers. After an increase in duty, 400 persons were known to be tea-drinkers in a sample of 600 people. Do you think that there has been a significant decrease in the consumption of tea after the increase in the excise duty?

14. The following data relate to the age of husbands and wifes.

Age of husbands :	25	28	30	32	35	36	38	39	42	45
Age of wifes :	20	26	29	30	25	18	26	34	35	46

    Obtain the two regression equations and determine the most likely age of husbands for age of wife 27 years and most likely age of wife for age of husband 30 years.

15. Explain the various criteria in case of risk and uncertainty situations.

DE–7104 **15**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, DECEMBER 2013.

BUSINESS LAW

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the remedies for breach of contracts.

2. Explain the various ways in which a contract is discharged.

3. How is an agent terminated?

4. Discuss the difference between sale and agreement to sell.

5. State the need for crossing cheques.

6. Explain the principles of marine insurance contract.

7. What are the different types of goods?

8. What are the essentials of a valid contract?

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. "All contracts are agreement but all agreements are not contracts" – Explain.

10. What are the duties and rights of a bailee?

11. What are the rights of an unpaid seller?

12. State and explain the classes of negotiable instruments.

13. Explain the term subrogation.

14. Explain the fundamental principles of insurance.

15. Explain the right, duties and liabilities of carrier by road.

DE–7105 **21**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, DECEMBER 2013.

FINANCIAL MANAGEMENT AND CONTROL

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the concept of wealth in the context of wealth maximisation objective.

2. Describe about redeemable preference shares.

3. Briefly explain the concepts of working capital.

4. Describe the determinants of capital structure.

5. Briefly explain the importance of cash management.

6. Describe the various approaches to finance function.

7. Compare budget, budgeting and budgetary control.

8. Write any four advantages and disadvantages of trade credit as a source of short-term finance.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Describe the objects of financial management.

10. Explain the various classifications of debentures.

11. Your company proposes to raise its turnover from Rs. 12,00,000 this year to Rs. 16,80,000 next year and to Rs. 19,20,000 in the succeeding year. It is expected that purchases will go up from Rs. 3,60,000 this year to Rs. 4,80,000 and then to Rs. 5,40,000 in the next two years. A steady profit of 10% on turnover is expected over the years and the material, labour and factory overheads estimated uniformly to be 30%, 20% and 30% respectively of the total cost. At the end of each year the raw material stock would amount to two months consumption, work in progress to one month's factory cost and finished goods to half a month's total cost. There is a two month's credit period allowed to customers and received from suppliers. Ignoring prepayments and accrued charges as they normally offset each other, workout an estimate of working capital requirements for this year as well as the next two years.

12. Explain the need, importance and scope of inventory management.

13. Explain the types, significance and economics of leasing.

14. Give a critical appraisal of the traditional approach and the modigliani-millers approach to the problem of capital structure.

15. Discuss the new trends in financing of working capital by banks.

DE–7106 **22**

DISTANCE EDUCATION

M.Com.(F &C) DEGREE EXAMINATION, DECEMBER 2013.

INVESTMENT ANALYSIS AND PORTFOLIO MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

All questions carry equal marks.

1. State any four investment avenues.

2. Distinguish between systematic and unsystematic risk.

3. Why is the valuation of equity different from that of debentures or preference shares?

4. How does technical analysis differ from the fundamental analysis?

5. Explain the factors to be considered under economic analysis.

6. State the theory of Sharpe Ideal Index.

7. State the difference between constant rupee plan and constant ratio plan.

8. Explain the Jensen index of portfolio performance.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the factors influencing the investment decisions.

10. Describe the various methods of valuation of equity shares.

11. Discuss the various factors that affect present and future values of equity shares.

12. Explain the various chart patterns used under the technical analysis.

13. Explain in detail about the Dow Theory.

14. Explain Sharpe Index model. How does it differ from the Markowitz model?

15. Describe the various tools of evaluating the performance of the managed portfolio.

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DE–7107 **23**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, DECEMBER 2013.

FINANCIAL SERVICES AND INSTITUTIONS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following.

All questions carry equal marks.

1. Explain briefly the salient features of the Mutual fund products/schemes in India.

2. Describe some of the problems face by the Indian financial sector.

3. Write a brief note on grading for Health Care Institutions.

4. What are the criticisms leveled against the GSM?

5. Write a note on derivatives trading at the BSE.

6. What do you know about Global credit rating agencies?

7. Brief the SEBI guidelines regarding Flls.

8. What is 'deposit' and 'public deposit'?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR of the following.

All questions carry equal marks.

9. Why should an investor invest in mutual fund?

10. Discuss the steps followed by credit rating agencies in the rating process.

11. Outline the main features of the scheme of regulation of fraudulent and unfair trade practices.

12. How far does development of financial institutions contribute to the Indian economy?

13. Critically examine the role of stock exchanges in the financial system of a country.

14. Make a comparison between stock exchange, OTCEI and NSE.

15. Examine the stipulations relating to pricing in public issue.

DE – 7108 **24**

DISTANCE EDUCATION

M.Com. (F and C) DEGREE EXAMINATION,
DECEMBER 2013.

GLOBAL FINANCIAL MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following.

All questions carry equal marks.

1. Why do countries devalue their currency value?

2. Explain the following :

   (a) LIBID

   (b) LIMEAN.

3. Explain the Top-Down strategy.

4. Why is portfolio approach to project appraisal considered to stand-alone method?

5. Should a firm hedge? Why?

6. What is meant by Transfer pricing? How is it used in cash management?

7. Explain the key difference between futures and forward contract on foreign currencies.

8. Discuss what is meant by incremental by cash flows of a capital project.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR of the following.

All questions carry equal marks.

9. Explain why there are benefits to be derived from international diversification.

10. In recent years, Japanese FDI in the United States has grown more rapidly than US FDI in Japan. Why do you think this is the case? What are the implications of this trend?

11. What are the differences and similarities between the gain from centralization of cash management via pooling and the gain via diversification of different currencies? Why do many governments restrict the maximum length of time over which firms can practice leading and lagging of accounts receivable and payables?

12. List the three steps in the portfolio management process with a brief description for each step.

13. Discuss various sources of fund generation by the World Bank.

14. Evaluate cross listing of shares of corporate.

15. Why has Eurocurrency market grown so rapidly?

DE–7109 **25**

DISTANCE EDUCATION

M.Com. (Finance and Control) DEGREE EXAMINATION, DECEMBER 2013.

TAXATION AND TAX PLANNING

(2005 Onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. State the conditions for determination of Residential status of an individual.

2. Define perquisite. Explain the provisions regarding valuation of rent free accommodation.

3. What is capital Asset? Explain two types of capital asset.

4. Define annual value. How is it computed?

5. Describe the procedure for computing Business Income.

6. Explain the concept of Bond washing Transaction.

7. Write a note on clubbing of Minor's income.

8. State the provisions regarding set-off of losses.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. What do you mean by Tax planning? State the difference between Tax evasion and tax avoidance.

10. Explain various types of provident funds.

11. How will you compute income from letout property?

12. Give an account of admissible deductions while computing the income from business.

13. Explain the provisions regarding carry forward and set-off of losses.

14. Following is the profit and loss account of a merchant.

	₹		₹
To Rent	60,000	By Gross profit	5,23,000
To Salaries	54,000	By Interest from Debtors	28,000
To Diwali expenses	2,000	By Rent from property	24,000
To Interest on loan	1,25,000	By Sundry Incomes	16,000
To Sundry expenses	55,000	By Commission	37,000
To Bad debts	6,000		
To charity	1,000		
To bad debts resource	2,000		
To rates	6,000		
To entertainment	8,500		
To loss by theft	14,000		
To Net profit	2,94,500		
	6,28,000		6,28,000

Notes :

(a) Rent includes ₹ 12,000 of a shop belonging to the merchant himself.

(b) Salary includes salary of ₹ 24,000 of his son, who is B.Com. Student and casually helps in the business.

(c) A loan of ₹ 60,000 @ 15% is taken from his wife out of funds advanced by him and interest is included in interest on loan.

(d) Sundry expenses include ₹ 9,000 being expenses incurred on pilgrimage to Haridewar.

(e) Entertainment includes ₹ 1,500 spent on tea of some guest of local MLA.

(f) Loss by theft took place when a pretended customer stole a necklace worth ₹ 6000 and ₹ 8,000 stolen from his house by de-locking.

(g) He earned ₹ 40,000 in gold smuggling not shown in books.

(h) Rates include ₹ 4,000 for the property let out. Compute the business income.

15. A,B and C partners of a firm X and Co. Profit sharing ratio is 2:3:5. the firms is assessed as a partnership firm. Compute the tax liability of the firm for the AY 2013-14

	₹		₹
Cost of goods sold	30,14,000	Sales	46,86,500
Other expenses	92,000	Dividends from Indian Co.	81,000
Depreciation U/S 32	86,000	Agricultural income is India	40,000
Interest on capital @ 16%		Other receipts	6,000
A	3,12,000		
B	4,60,000		
C	1,67,500		

	₹		₹
Remuneration to partners			
A	36,000		
B	4,48,000		
C	36,000		
Expenses for earning agricultural income	30,000		
Net profit	1,32,000		
	48,13,500		48,13,500

Out of other expenses, ₹ 10,000 is not allowed U/S 40A Interest and remuneration are paid to partners as per the partnership dead. Brought forward loss of the earlier year is ₹ 15,000.